



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

ECONOMICS

Paper 1

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Confidential

MARK SCHEME

This document consists of **9** printed pages.

Section A

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[10]

Section B

1. State three functions of a central bank.

- banker to the government
- lender of last resort
- manages the national debt
- issues bank notes
- set interest rate
- controls the banking system

[3]

2. Explain any two influences on the price of company shares.

- interest rates – a rise in interest rate is likely to reduce share prices because people may be attracted to place their money in deposit accounts than to buy shares or higher interest rates will reduce spending from decreased borrowing which will reduce a firm's revenue
- profit record – the higher the profits earned the higher will be share prices
- government policy – a cut in corporate tax is likely to increase share prices as people expect firms to be able to pay higher dividends
- the issue of new shares – new issue of shares will increase supply of shares resulting in a fall in their prices
- takeovers and rumours of takeovers – buying up shares to gain control of a firm will drive up their share prices.

any **two** points explained

[4]

3. Describe how changes in price would affect revenue for a product with an inelastic demand.

An increase in price (1) will lead to an increase in revenue (1) yet a decrease in price (1) will lead a fall in revenue (1)

[4]

4. Describe two disadvantages of a monopoly.

- less consumer choice (1) as there is only one producer therefore consumers will be forced to buy the only available product (1)
- higher prices (1) if there is one player in the market there would be abuse of market power (1)
- lower product quality (1) lack of competition will not motivate the firm to improve the quality of goods and services (1)
- the need for legislation (1) puts pressure on government to control the operations of the industry (1)

Any **two** disadvantages described

[4]

5. Explain how a quota differs from a tariff.

A quota is a limit on the amount of goods that can enter a country (1) while a tariff is a tax on imports (1)

A quota is a more certain restriction to limit the importation of products (1) while a tariff is less certain to restrict the importation of products (1).

[4]

6. Use a demand and supply diagram to explain the effects that are likely to occur in a market if the government introduces a subsidy for the production of a good.

Diagram – labels (1), shift of the supply curve to the right (1), original equilibrium (1), new equilibrium (1)

A subsidy will decrease the cost of production (1) resulting to an increase in supply (1)

[6]

7. State the type of tax that would be paid in each of the following cases.

(i) Profits made on buying and selling shares.

Capital gains tax or profits tax

[1]

(ii) Purchase of a meal from a restaurant.

Sales tax or value added tax [1]

(iii) A company's profits.

Company tax or corporation tax [1]

8. Explain what is meant by external diseconomies of scale.

These are higher long run average costs (1) arising from an industry growing large (1) [2]

Section C

1. (a) Explain what is meant by GDP.

Is the total value of output (1) produced by all domestic firms in a country (1) [2]

(b) Describe two benefits to Pholaland of exploiting the mining sector.

- Increases government revenue (1) through income tax from more workers being employed (1) or indirect tax from increased spending (1) or tax on profits from more mines being opened (1)
- Creation of job opportunities (1) or more miners and other mining related employees will get employed (1) which will improve their living standards (1)
- Improves the country's balance of payment (1) more is likely to be exported as more mines are opened (1)
- Improves country's output (1) there will more goods and services produced in the country (1)

Any **two** described [4]

(c) Analyse how diversification would strengthen the Phola.

Greater range of goods and services (1) leads to more exports (1), greater demand for Phola to pay for them (1), fewer imports needed (1), less supply of Phola to pay for (1), results in further appreciation of currency (1) [6]

(d) The extract suggest that the country was working in the diversification of local products through bringing different investors to the country. Discuss whether it is wise for Pholaland to bring different investors to the country?

Points for

- Creation of employment (1) more people will be employed hence their living standards will be improved (1)
- Bring in new technology (1) advanced technology which leads to increased output (1)
- Increases tax revenue (1) as more firms are established there will be more corporate tax or income tax collected (1)
- Availability of goods and services (1) as more business opportunities are opened up more goods and services will be accessed by the people (1)
- Improve infrastructure (1) they build buildings which are in the first world status and also improve feeder roads (1)

Points against

- Expatriation of profits to their own countries (1) the profits made by the investors are normally taken back to their home country (1)
- May force competing firms out of the industry (1) some giant investors may be attracted which will increase competition forcing out small domestic firms out of the industry (1)
- Some investors may exploit workers (1) as the investors are likely to pay workers low wages and they do not give them higher positions (1)
- Some may interfere in the government of the country (1) as other business become large they then influence the way the government pass certain regulations (1)

3 marks for and against

2 marks for conclusion

[8]

2. (a) Define inflation.

This is the persistence increase (1) in the general level of prices in a given period of time (1) [2]

(b) In what section of Sushiland's Balance of Payment will imported oil be recorded?

Trade in goods [1]

(c) One of governments' aims is redistribution of income and wealth. Explain what is meant by this aim.

Government tries to reduce inequality in income and wealth (1) between the rich and the poor (1) [2]

(d) Give two examples of direct tax from the extract.

Income tax and company tax [2]

(e) Explain the difference between direct and indirect tax.

- Direct tax is levied on income and wealth (1) while indirect tax is levied on expenditure (1)
- direct tax is progressive in nature (1) while indirect tax is regressive in nature (1)
- cost of collection for direct tax falls on the government (1) while for indirect tax it mainly falls on producers (1)
- Direct taxes have a narrow tax base (1) while indirect has a wider tax base (1) [5]

(f) Discuss whether the new tax system would raise the economy's efficiency and welfare.

Points for

- Wider tax base (1) therefore more tax revenue to fund government activities (1)
- Reduction in company tax will be an incentive to businesses (1) to reinvest their profits in expansion (1)
- Increase of social benefits will close the gap between the rich and the poor (1) as the rich will be heavily taxed to provide grants and other social benefits to the poor (1)
- Reduction in income tax will increase individual's income (1) as result there will be an increase in consumption spending and consequently aggregate demand (1)

Points against

- Move from direct to indirect tax may increase the burden on the poor (1) as indirect tax regressive (1)
- tax on previously exempt benefits may be a threat to accessing certain basic benefits (1) which may be useful to citizens (1)
- this will lead to excess aggregate demand which will lead to inflation
- there will also be an increase in demand for imports because of increases incomes (1) this will harm the balance of payments (1)

3 marks for and against

2 marks for conclusion

[8]